

Tata Motors (TMCV)

Conference call transcripts, oldest-first. 3 call(s). Generated 2026-08-02.

Call: Nov 2025

BSE Limited
First Floor, New Trading Ring
Rotunda Building, P J Towers
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Ala Street, Fort
Mumbai 400 001
November 18, 2025
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Sec no. - 11 National Stock Exchange of India Ltd.
Exchange Plaza, 5th Floor
Plot No.C/1, G Block
Bandra- Kurla Complex
Bandra (East), Mumbai 400 051

Dear

Sir/Madam,

Sub:

Transcript of the Earnings Discussion/Conference call

Pur

uant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI
(Listing Obligations and Disclosure Requirements) Regulations, 2015 and further to
our letter bearing sc no. 3 dated November 12, 2025, we are enclosing herewith the
transcript of the earnings/conference call conducted after the meeting of Board of Directors held on November 13, 2025 on
the Audited Standalone Financial Results and Unaudited Consolidated
Financial Results of Tata Motors Limited (formerly TML Commercial Vehicles Limited)
(‘the Company’) for the second quarter ended September 30, 2025.

The above i

nformation is also available on the website of the Company at

[www. cv.tatamotors.com](http://www.cv.tatamotors.com) .

This is for information of the Exchanges and the Members

Thanki

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Your

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Tata M

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(formerly TML Commercial Vehicles Limited)

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Company Secretary

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Tata Motors Limited

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Tata Motors Limited (Formerly known as TML Commercial Vehicles Ltd)

Q2 FY26 Earnings Call transcript

Management:

- MR. GIRISH WAGH, MD & CEO, TATA MOTORS LIMITED
- MR. G.V. RAMANAN, CFO, TATA MOTORS LIMITED

Presentation

Sneha Gavankar

Good day and welcome to Tata Motors Limited Q2 FY '26 Earnings Call. I have with me today Mr. Girish Wagh, Managing Director and CEO; Mr. GV Ramanan, CFO and the Investor Relations team. Today we'll walk you through the results presentation followed by Q&A . As a reminder, all participants will be in listen - only mode and we will be taking questions by Teams platform. The same is already open to you for submitting questions. You are requested to mention your name and the name of your organization while submitting the questions. I now hand over to Mr. GV Ramanan. Over to you Sir.

GV Ramanan

Thank you, Sneha. Can we go to the next page, please?

So, this is our standard safe harbor statement, and I just want to draw your attention to the accounting standards para adding the prior period financials in this presentation, they reflect the impact of the demerger as it has just been effective since the Company's incorporation that happened in June 2024. Accordingly, the Q1 numbers that are included here within H1 FY25 numbers are derived numbers. In

terms of our presentation format, there are no changes to the segment definition. It remains the same as in the past, and we've listed the details clearly there. On the consolidated financial statements, they include the un-allocable and other items that are not specific to the commercial vehicle segment. These comprise largely corporate function and other subsidiary and associate companies, which are clearly listed here.

Can you go to the next page, please? The key highlights for Q2, very happy to share that we've passed the entire GST reduction benefit to customers through the price cuts. And as OEM, we were the first to kind of go off the block on this. This contributes to achieving the government's objective of accelerating economic growth. Our portfolio has expanded with new launches, especially Ace Gold+ Diesel, Wingers Plus and a couple of trucks, which clearly address diverse customer needs. We expanded mobility leadership in Sri Lanka with the launch of 10 new trucks and buses to meet the market needs. Electric mobility is a key focus area. We signed an MOU with green energy mobility solutions to supply 100 Magna EV intercity coaches. We have started delivering 148 Starbus EV buses to BMTC, supporting Bangalore's e-mobility drive. The EV ecosystem has

been strengthened with over 25,000 public chargers in 150+ cities for electric SCVs.

Next page, please. Q2 FY26 was full of significant corporate actions. We successfully completed the demerger with Effective date of 1st October. And as committed previously, we are pleased to share that the listing of the commercial vehicle business is also completed and now listed as Tata Motors Limited with the ticker TMCV on both BSE and NSE. On the Iveco acquisition, the regulatory approvals are underway. Tata Motors Limited
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and the initial funding through bridge loan has been secured. We would like to thank all our banking partners for the overwhelming response in this regard. To further reinforce our commitment to accelerate AI-led freight transformation and digital logistics, the company has invested an additional ₹134 crores in Freight Tiger, bringing the total investment to now ₹284 crores.

Next page, please. The Q2 wholesale performance. This slide provides a detailed breakdown of our wholesale across period and product lines. Q2, we had a good quarter where wholesale clocked 97,000 units, which was up 12% year-on-year with increase in volume across product lines, and we outgrew the industry. Double-digit growth in IMCV and SCV product line and demand drivers gained momentum. Exports grew by a solid 75% on a Y-o-Y basis, mainly led by the SAARC countries, especially Bangladesh, Nepal and Sri Lanka. With a quarterly volume of 7,600 units, our international business is back at pre-Covid levels of FY '20.

Next page, please. On the Vahan market share, our H1 stands at 35.3% with steady share across product lines. After a subdued Q1, trucks' market share rebound strongly from the second half of Q2. SCV, while the shares remained flat, we witnessed healthy retail growth on the back of new launches. We expect this to continue. On CV Passenger, we have a strong pipeline to recover our market share.

Next page, please. For the financial highlights for Q2, the revenue was at ₹18.4 crores, up 6.6% Y-o-Y, with a double-digit EBITDA at 12.2% and PBT at ₹1,700 crores.

Strong ROCE performance continues with Q2 ROCE at 45%. Margin expansion continues with EBITDA up 150 basis and EBIT up 200 basis year-on-year.

Next page, please. On this slide, you would see the EBIT walk. The PBT increased by ₹469 crores Y-o-Y, with EBIT margins at 9.8%, which is a 200-bps growth Y-o-Y. The higher volume and favorable realization significantly contributed to margin improvement. The savings in fixed cost led by lower D&A clearly insured cost is under control, and this has delivered an EBIT of 9.8%.

Next slide, please. Q2 FY'26 saw a strong free cash flow of ₹2,200 crores. This is led by a sustained operational performance and working capital gains owing to higher volume. H1 FCF was a record ₹417 crores. This is the highest ever with strong cash profit after tax of ₹4,200 crores. We expect our FCF to be consistent with the likely growth in H2 volume. Significant reduction in interest charge as a result of deleveraging, our interest cost has been kind of coming down, and you will see that quarter-on-quarter.

Next slide, please. This slide basically highlights our journey of achieving significantly higher and consistent cash flow. There have been structural shifts in business, which will continue to drive the FCF performance. The key levers for driving superior performance on FCF, as you would see the first box on the left side, the scale has gone up significantly. Our revenues are at a level of ₹75,000 crores, For CAGR itself over FY'22 was growing at 13%. Our absolute EBITDA has expanded 5x since FY'22, and we've delivered consistent double-digit EBITDA margins. Continuous focus on noncyclical business has helped achieve sustained cash performance and our noncyclical business is high margin and high ROCE business. Prudent Capex spe

nds,

which are well within the guidance range that we had given of around 2% to 4% of revenue. This will continue to be in this range, and we have been very prudent as majority of the spends are largely on decarbonization and circularity initiatives. Our pivot towards profitable growth cost optimization efforts and strong working capital discipline has helped achieve an FCF of 10% as a percentage of revenue in FY

'25. In absolute terms, that translated to ₹ 7,400 crores. This highlights the ability of the business to deliver consistent cash even in a scenario such as FY '25 when HCV volume witnessed a drop of around 9%.

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Coming to the consolidated financials. This is a clear snapshot of our consolidated financials. Our Q2 revenue was at ₹ 18,600 crores, with EBITDA at 11.4% including the impact of acquisition-related due diligence spends, and that's what you see is the reduction between Q1 to Q2. Our PBT was negative at ₹ 0.6K crores. The reported profits were adversely impacted by the mark-to-market loss of ₹ 2,000 crores on account of the recently listed investment in Tata Capital. Excluding this mark-to-market loss, the underlying PBT and net income remains strong at ₹ 1,500 crores and ₹ 1,200 crores, respectively. Strong cash performance with FCF at ₹ 2,000 crores in Q2 FY'26. At a consol level, we are net cash at ₹ 1,200 crores.

I'll hand this over to Girish now for the business update. Over to you, Girish.

Girish Wagh

Thank you, Ramanan.

Let me start with the fleet utilization first of all. I think the fleet utilizations continue to be at a good level despite heavy rains. In fact, across the segments, we have seen a year-on-year growth in utilization across HCV cargo, MCV cargo trucks, ICV and LCV and buses. I think only in HCV tipper, we had seen a bit of downside because of extremely heavy rains as compared to the previous year. But I think we have already seen the tipper utilization now ahead of the last year as we entered into the month of October. So, I think on fleet utilization, the overall scene is quite good. In terms of freight rates, we continue to remain firm. In fact, post the GST rate rationalization, since there has been an increase in consumption, it has led to increase in the freight being transported, and that has also helped to firm up some of the freight rate. So, I think overall, in a good space.

Next.

Now coming to our business for Q2. So, the industry volumes grew by 8% Y-o-Y in Q2 and the TIV industry volume actually grew across all segments, which is a good healthy sign. We transitioned the entire portfolio to the GST regime. And as Ramanan said, I think we were the first one to immediately indicate the pricing list, and therefore, the drop in prices.

In terms of heavy commercial vehicles, which is 28 ton and above, our volumes grew 5% on a Y-o-Y basis, while I think the industry volumes have grown by 2%. In ILMCV, our volumes grew by 15%, whereas the industry volumes have grown by 11%. In SCV pickup, the industry volumes grew by 11%, and our volumes also grew in line with the industry. In the buses and vans segment, that is CV passenger, volumes grew by 9%. And actually, the performance was influenced by shift in salience of some of the segments, as also tender-driven business, especially the tenders which happened during the last quarter of previous financial year.

Talking about non-cyclical businesses, we have seen a consistent year-on-year growth in parts and service penetration. Over now almost three years, there has been consistent growth happening. International business during the year continues to do very well. In fact, we have seen the shipment see almost 75% growth on a Y-o-Y basis and the retails are also moving at the same rate.

In terms of the Smart City Mobility, our electric bus fleet has now cumulatively crossed 420 million

kilometers.

We continue to deliver uptime of 95%, and in fact exceeding the contractual requirements. In the digital business, we aligned our subscription plans to the expectations of the customers, and we actually introduced two new levels of subscription plans, light and prime and also, therefore, made it

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better than some of the non-OE offerings in the market, post which we have seen a good pickup in subscription renewals. And as you can see that it moved from 26% to 37% within two months. I think now it is up to us to connect with most customers and push the subscription renewal further.

Talking about electric mobility solutions, we had only 81 electric buses registered in Q2, which means a total registration of now 3,700. I think now all the tenders that we had won till now of electric buses, all the buses have been delivered. And now we are evaluating the participation in the PM E-DRIVE tender supposed to be closed tomorrow. I think this, we are participating through a consortium model. This tender also addresses the payment security mechanism and an asset-light structure. So, this meets all the requirements that we were advocating with the government, and the conditions are now favorable for us to participate in the tender.

We launched A cePro EV in the last quarter and have had a very good response. I think we've been able to increase the retails beyond 400 per month. In addition to the A ce EV that we are already selling, and we see good traction coming in across last mile distribution, FMCG and waste management. We've also been

able to onboard most of the financiers to fund this product.

On our internal sustainability journey under the Project "Alingana", we have made progress in all the three areas of decarbonization, circularity and preserving biodiversity. We now have three plants certified for water neutrality, three plants, which have already achieved zero waste to landfill, and the conservation efforts on the central Asian flyway and elephant conservation are on track.

Next.

As far as digital business is concerned, we now have more than 885,000 vehicles active, out of which 75% monthly active users and 54% weekly active users on the Fleet Edge platform. Milage Saarthi continues to deliver more than 7% improvement in fuel efficiency to the customers who have onboarded themselves on that service. In our online sales platform, Fleetverse, we now have more than 22,000 platform assisted retailers in the entire quarter two. In addition to that, digitally generated retailers converting into final sale now is at around 27% of the total retail. E-Dukaan, our online spare part sale, we now have 10,000 customers and 33,000 retailers. But we also now started direct -to-customer delivery - last-mile delivery across eight cities in the country, which will ensure that the parts booked on the platform are delivered directly to the customers within stipulated timeline.

Next.

Going ahead, Q2, as I said, has seen good demand recovery, mostly driven by good monsoons, but more so, I would say with the positive sentiment post the GST rate reduction. We believe strongly that growth momentum will continue through the second half across the segments. I think the GST cut has boosted consumption leading to improvement in D2C or B2C kind of customers who don't take input tax credit. But due to increased consumption and utilization, it is supporting demand for medium and heavy commercial vehicles also. Mining, construction, infrastructure has restarted. And from the last month, I think one has seen good improvement in the tipper demand. In fact, towards the end of Q2, we have started seeing good improvement in tipper demand. I think for us now since we have seen a very strong growth in our trucks, market shares from the second half of Q2, we will sustain this growth trajectory. We will continue

to gain share in the MCV buses, especially in private sector. And we will also start the delivery against the tenders that we won in Q2, which will help us in market share gaining back. We are currently in the process of increasing the volumes of some of the new products that we've launched and have gained traction. Of

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course, as Ramanan said, we will continue to sustain the profitable growth, robust financial performance, delivering double-digit EBITDA, cash flows and then strong ROCE.

So that's it, I think thank you. We will now get into questions and answers.

Questions And Answers

Sneha Gavankar

Thank You Girish and Ramanan. So, the first question is from Arun Pirani, JPMorgan. Exports have been growing quite sharply for you as well as other CV peers. Is it just a low base effect or are there new opportunities which are opening up in terms of geographies or customer segments?

Girish Wagh

So I mean it is a combination of both, I would say post Covid, the international business was quite subdued. I think in the recent past, we've had some markets opening up. First, Nepal opened up and led to good volumes. But unfortunately, we had another level of political instability there. Therefore, Nepal is once again down. But I think Sri Lanka market has opened up now with the economy improving there. But in addition to that, we have clearly seen an improvement in Middle East as also Africa. These markets are also, therefore, leading to higher demand. So, I would say it is a combination of lower base as well as increase in some of these markets that I mentioned.

Sneha Gavankar

The next question is from Kapil Singh. What is the demand outlook for MHCVs and LCVs for FY '26? And have you seen any impact because of the GST cuts on demand?

Girish Wagh

Yes. So, Kapil, I think as I said, the GST rate cut has led to a dual impact on commercial vehicle demand. First, I would say a primary or a direct impact. So, we have those B2C customers who don't necessarily take input tax credit. For them, the reduction in GST has been a direct benefit and that has led to an increase in demand. This is applicable more in LCVs and small commercial vehicles. In addition to this, the reduction in GST on spare parts, tires, etc. have also led to a reduction in their operating expenses, which will lead to improvement in TCO by almost 1% -1.5%. That is another area which is going to help. But the secondary impact on demand is this GST rate rationalization has led to general increase in consumption in many categories, which is, therefore, leading to higher production, and therefore, higher freight available, both inbound and bond, which one can see in terms of requirement of more number of vehicles increasing utilization. This increasing utilization clearly will lead to higher demand. And with respect to this, therefore, we expect in H2, across the segments, there will be a single-digit to higher single-digit growth as we go ahead. I think the Q3 has also started on a good note. So that's how we look at the demand going ahead.

Sneha Gavankar

On the market share, another question from Kapil Singh . There is a slight dip that we've seen in the market share across segments. What are your plans to pull this back? And how do you think of discounting in a post -GST cut scenario? Has it really come down?

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Girish Wagh

Yes. So, Kapil, I think yes, in the presentation also, Ramanan mentioned that we started the quarter on the subdued note in market share. But after that, I think in trucks, that is both heavy commercial vehicles, and intermediate, light, medium commercial vehicles, both these segments, I think we have rebounded very strongly. We know that we will continue this trajectory as we go ahead. We will also be launching some of our new range of products, the

model year '26 in both heavy commercial vehicles as well as intermediate

light medium commercial vehicles, which will further improve the competitiveness, and this will be a very, very wide range of products that we'll be launching, with which we are pretty confident that we should be able to continue with the strong trajectory of growth in the trucks share.

As far as buses is concerned, I think there are two parts to it. In the private market, actually, we have been doing well and growing market share in both MCV and ICV buses. Where we have suffered is actually some of the tender, businesses tenders that we had lost during the last quarter of previous year. But I think in the quarter gone by, we've been able to win three good tenders, and this quantity will help us to get back the market share pretty strongly in the rest of the year.

In small commercial vehicles, yes, our market share remains at the same level, at a lower level. But the good part is that after 18 months, we've been able to consistently for two months, retail almost 15,000 vehicles, which is a significant growth over otherwise what we were retailing. We're continuing this retail growth as we go ahead in the rest of the year, and this will, therefore, also lead to an improvement in share even in this segment. So that's the status on market share.

Sneha Gavankar

Next question again from Kapil Singh. We'll finish with Kapil and move on. What percentage of revenue comes from non -cyclical businesses? And what is the mix of your key subsegments and how you expect them to grow?

GV Ramanan

Kapil, thank you for that question. So, what I would say is that today the mix of noncyclical business revenue as part of the overall revenue is a healthy double digit. We expect this to grow with the growth in the digital business. I think Girish shared that as part of the business update, too. So as the digital business grows, I think this percentage only gets stronger for us.

Sneha Gavankar

Next questions are from Gunjan. There are a few questions in there. So maybe I'll just break it up. Can you talk a little more on the difference between CV segment and consol financials? And where is the electric bus business captured and are there any losses on that count? And what are the other businesses in consol ?

GV Ramanan

So I think Gunjan, if you actually look at our safe harbor statement, we've called out the CV segment quite clearly there. There is no change in this segment versus what we were reporting earlier as part of the overall consolidated entity earlier. And to your second question in terms of the e -bus business, I think you're referring to the smart city operation. That is part of the Commercial Vehicle segment only.

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That's the number that we kind of shown as part of Commercial Vehicle segment. What kind of comes in consol , as I had kind of shared this earlier in the safe harbor statement also ; in addition to the Commercial Vehicles segment, this includes the un -allocable and other items, largely the corporate functions and some of the other subsidiaries and associates like ACGL, Freight Tiger . That kind of comprises from a consol standpoint. That also if you see the other details on the safe harbor statement, we have called them out there .

Sneha Gavankar

Another question from Gunjan. Any color on margin drivers, commodities, pricing, discounting for trucks?

GV Ramanan

I think in terms of the EBIT walk that we kind of shared if you've seen, the key driver, largely the 2% improvement in EBIT year -on-year is kind of coming from volume and favorable realization, and that's what is kind of driving the EBIT higher.

Sneha Gavankar

Sir, any update on Iveco? How is the acquisition being funded? How much debt have you taken it?

GV Ramanan

I think we are still at the stage in Iveco where we are securing the approvals, and we expect

all the

approvals to come through by around February -March. The initial round of funding, as I said in the earlier calls also, is going to be through a bridge loan. I think that has been completely tied up, and I had also touched upon that in the beginning to say that there was an overwhelming response from the banking partners on that. So, our initial funding is going to be through bridge loan. Subsequently, for the refinancing of the bridge loan, we will evaluate all the options, equity, debt and at that right time we will kind of balance the equity and debt accordingly.

Sneha Gavankar

Sir, how are things shaping up, this question is from Raghvendra Goyal of Ambit. How are things looking on the DFC front? And do you expect any material impact on MHCVs over the next three to four years?

Girish Wagh

So I, have actually given commentary on this in the earlier analyst meets also, but I will repeat. As we see, there are two dedicated freight corridors. One is Northeast and the second one Northwest. As far as Northeast is concerned, it is fully operational. Northwest is operational in parts and should get operational fully in maybe next few quarters.

Now as far as Northeast is concerned, bulk of the transportation on this sector is more of bulk commodities, which is minerals and raw materials. And large part of this was anyway moving through rail. With this change, I think the movement will move from the main tracks to the dedicated freight corridor.

So, impact on road transportation, therefore, for of the Northeast corridor is likely to be low.

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As far as Northwest corridor is concerned, I think here, there is a significant amount of container traffic supporting export/import, and this container traffic, which happens on tractor trailers today, part of it is likely to move to the rail, which will then lead to some part of the tractor demand moving to railways.

Now will this lead to a contraction in tractor segment? So, the assessment currently is no. It will reduce the likely growth rate of the tractor segment. But at the same time with the dedicated freight corridor on the Northwest side and increasing trade, this will actually lead to an increase in demand for ICVs and MCVs because the dedicated freight corridor will not be point-to-point, but will be more so to hub to hub, and therefore, to support it more of ICVs and MCVs are required.

So, net-net, if one has to look at only from a volume perspective at an overall CV level, actually, DFC will lead to an increase. But within that, it will have an impact, negative impact on the tractor trailer segment.

Girish Wagh

I think Kapil has asked this, again discounting question, what is the outlook post GST cut?

Yes. Sorry, Kapil we missed it. See, so let me answer it from our perspective how we have handled the discount post GST. So, we have been very, very transparent. The next day we actually passed on the entire GST benefit. And to that extent, therefore, there was a reduction in the total discount also. So absolute amount of discount has been reduced to the extent of the percentage GST reduction. But whether this milestone or this step, did it lead to a reduction in discount as a percentage of ESP, no, not because of this milestone. That is happening, but in some segments, it is due to the inherent demand/supply situation and competitiveness of the products, okay? So, I hope I've been able to answer your question now Kapil.

Sneha Gavankar

Our next question from Aditya. Can you explain the loss on Tata Capital fair value? Ramanan, you want to take that?

GV Ramanan

Yes. Thank you for that question, Aditya. As you may be aware, Tata Motor Finance has kind of got merged into TCL and the Board approval for that merger came around June 2024. And as part of that whole exercise, the valuation was carried out, looking at comparable peers and even

everything and the value was

fixed. Subsequent to that, October '25 is when Tata Capital IPO happened. The listed price on the IPO turned out to be almost 20% -25% lower than the earlier expected valuation price. Hence, as per the Accounting Standards' requirement, we had to do a mark-to-market adjustment on this. That is the reason for the ₹2,000 crores of loss that has kind of come through.

Sneha Gavankar

Next question from Jay Kalra of Elara Capital. In MHCV a lot of replacement demand was expected to kick in and drive the industry growth. Is that really playing out? And what is your assessment of the average fleet currently?

Girish Wagh

Yes. So, see, as I've said in the past, there is not much dependable and triangulated data on this particular aspect to give you a very firm response on replacement demand and what part of the demand is due to

replacement. I'll tell you the reason to o. See, what happens is, especially when we entered into the BS VI
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regime, the retail customers, and I'm just talking of M & HCV, the retail customers, to a large extent, moved to used vehicles because they were not able to afford the new vehicles, whereas the fleet owners who buy new vehicles have been changing their vehicles in four years because of the continuous improvement in TCO of the vehicles. But will one call that as a replacement demand? No, because the fleet owners were then selling their vehicles to the retail customers. Then they were using it for their purposes.

Then from a duty cycle perspective, see generally newer vehicles during the warranty period are used on long-haul routes, whereas after, say six years or so, and when the ownership changes, then they go into a short-haul route for specific distances, and that's how the vehicle application and usage continues.

I think I would, therefore, rather answer your question by saying that overall fleet utilization is going up, which is what we are able to track on almost 0.9 million vehicles. That, in our view, is a very good sign, and this kind of utilization of the vehicles should, therefore, anyway, lead to demand for the newer vehicles.

That's all we will answer your question, Jay.

Sneha Gavankar

The next question from Kumar Rakesh. Can you indicate how customer sentiment is trending? And what could be the reason it is improving or deteriorating? Some of the segments that these tippers have seen a demand impact from monsoon for the last two quarters. What was unusual this year? Do you see a risk of underlying weakness?

Girish Wagh

Yes. So, Rakesh, I think you're right, we used to share this customer sentiment data. But we are now revisiting the methodology of this data to make it more richer, and we will come back with this particular data. The second part of your question, which is tipper going down, yes, you have rightly picked it up. But Rakesh, this is absolutely seasonal. And every year I have seen in from the month of June, the tipper utilization does go down. But let me tell you, post rainy season towards the end of Q2, beginning of Q3, there is a very good improvement in tipper utilization. And actually, tipper market has picked up pretty well. That's how I will answer this question.

I think Kapil has another question.

Sneha Gavankar

Yes. So, Kapil's question is, are the e-buses like those for PM E-Drive orders eligible for PLI? If not, what is the roadmap for localization and timelines?

Girish Wagh

Yes. So, Kapil, see, I think in electric buses or electric vehicles, we have two set of incentives. One is the demand-side incentive and second is the supply side incentive. They have no relation to each other. In demand-side incentive, there are three types of incentives. First is lower GST, which continues at 5%. Second is some specific states like Maharashtra have come up with further one-time benefit and incentive.

Third is the PM E-drive, which you have referred to. That incentive also continues, which earlier used to be called as FAME incentive. So, these demand-side incentives are irrespective of the supply side incentive. The supply side incentive is the production-linked PLI incentive. Now production-linked incentive, yes, is dependent on the localization that one does. The PM E-drive incentive, although being the demand side,

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is also dependent on localization because both are driving localization here. And for both you have to meet different set of requirements to meet these conditions. I think the buses that we have been supplying, we are meeting all the requirements, and therefore, getting all the incentives, both demand side and supply side. I hope, Kapil, this answers your question.

Sneha Gavankar

Let me just have a look at if there are any other questions in the queue. Just give me a moment, please.

Girish Wagh

Jay has one question. Yes. So, Jay I think you have a question on post change of forward change mechanism from 12% to 18%. Yes. There was a confusion for some time. But I think gradually, we are moving towards a new state of equilibrium. The fleet owners are also taking advice as we understand in many cases, from OEMs, from their own advisers, GST experts, etc. and they are taking their own calls in terms of what kind of mechanism, whether FCM or RCM is what they should be taking. I think there is still a difference between what they have been taking. But gradually, we are reaching a new state of equilibrium.

Sneha Gavankar

So I think that's all that we have of the questions. If you have any closing remarks, and then we can close the call.

Girish Wagh

Okay. So, thank you very much for joining the call. I know I was told that there were multiple calls today. But good that you joined. I think we had a very historical milestone yesterday of the listing ceremony of Tata Motors Commercial vehicle, which will now be named as Tata Motors. We also had a very strong listing, and we are also delighted that we have followed it up with a very strong set of results today with continued growth in margins, very robust cash flows, in fact, this is the first year where we have turned free cash positive in the H1 itself, highest ever H1 free cash flow and also a very high return on capital employed. So very happy to share those results with you. Thank you for joining. And look forward to further engagements with all of you. Thank you.

Call: Feb 2026

BSE Limited
First Floor, New Trading Ring
Rotunda Building, P J Towers
Dalal Street, Fort
Mumbai 400 001

February 3, 2026
Sc no. - 32
National Stock Exchange of India Ltd.
Exchange Plaza, 5th Floor
Plot No.C/1, G Block
Bandra- Kurla Complex
Bandra (East), Mumbai 400 051

Dear Sir/Madam,

Sub: Transcript of the Earnings Discussion/Conference call

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and further to our letter bearing sc no. 24 dated January 19, 2026, we are enclosing herewith the transcript of the earnings/conference call conducted after the meeting of Board of Directors held on January 29, 2026 on the Audited Standalone Financial Results and Unaudited Consolidated Financial Results of Tata Motors Limited (formerly TML Commercial Vehicles Limited) ('the Company') for the third quarter ended December 31, 2025.

The above information is also available on the website of the Company at [www. cv.tatamotors.com](http://www.cv.tatamotors.com) .

This is for information of the Exchanges and the Members
Thanking you.

Yours faithfully,
Tata Motors Limited
(formerly TML Commercial Vehicles Limited)

Sudipto Kumar Das
Company Secretary

Encl: as above
Tata Motors Limited
January 29, 2026

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Tata Motors Limited (Formerly known as TML Commercial Vehicles Ltd)
Q3 FY26 Earnings Call transcript

Management:

- MR. GIRISH WAGH, M D & CEO, TATA MOTORS LIMITED
- MR. G.V. RAMANAN, CFO, TATA MOTORS LIMITED

Presentation

Sneha Gavankar

Good evening. Welcome to Tata Motors Q3 FY '26 Earnings call . I have with me Mr. Girish Wagh, Managing Director and CEO; GV Ramanan, CFO and the Investor Relations team. Today, we'll walk you through the results presentation followed by Q&A. As a reminder, all participants will be in listen -only -mode, and we'll be taking questions via the Teams platform. The same is already open to you for submitting questions. You can mention your name and the name of your organization while submitting questions. I hand over to Mr. GV Ramanan. Over to you sir.

GV Ramanan

Thanks, Sneha. Good evening everyone. For the standards safe harbour statement, I would like to draw your attention to the last paragraph on the left side. We've had a few exceptional items this quarter. And just if you look at it, the impact has been on account of new labor code impacting us by around ₹603 crore. Demerger cost has been around ₹960 crore. And both these are going to be one-time for us. We don't expect this on a recurring basis. It's an exceptional item. And we also have an acquisition cost, which is part of our IVECO acquisition, around ₹82 crores. The impact of all of these and other items stood at ₹1,500 Cr in our standalone financials and at ₹1,600 Cr in our consolidated financials.

Key highlights for Q3, as you can see, our Iveco acquisition is progressing as planned with all the regulatory approvals anticipated to be received by end March. As we laid out the timeline earlier, the deal should get finalized by Q1 FY '27. On the business front, a very eventful and exciting last week, wherein we had launched around 17 new next-gen trucks. I think I don't want to take the fizz out of it - Girish will share more as part of the business update. We broadened our portfolio with the introduction of Prima 3540.K, our most powerful tipper at EXCON 2025. Also showcased our new Euro 6 range and our growing markets in Middle East and North Africa. We delivered the cutting-edge Prima, range of electric prime movers to Enviro wheel, driving advancement clearly in progressing on the zero-emission trucking. And with a view to strengthen India's LNG truck

king ecosystem, partnered with THINK Gas.

Can we go to the next slide.

Looking at the overall Q3 wholesale performance, this slide clearly details by period and product line. In Q3, the wholesale reached 116.8K units, a 20% Y-o-Y increase over last year. All the product lines registered a growth on a Y-o-Y basis, with HCV, ILMCV, and SCV registering double-digit growth. HCV grew at 23%, ILMCV around 26%, small commercial vehicles grew at 15% and our CV passenger business grew at 4% on a Y-o-Y basis. International business continued its

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growth trajectory with a Y-o-Y growth at 70%, mainly led by sub-Saharan Africa countries and SAARC, especially Sri Lanka, which is kind of coming back as the economy is bouncing back. Go to the next page, please.

On the Q3 financial highlights, revenue for Q3 reached ₹21,533 crores, marking a 17% year-over-year increase, primarily driven by higher volumes. Margins continued to expand, with EBITDA margin rising by 30 basis points. In the same quarter last year, there was an impact of maiden PLI gain of ₹169 crores, which had an impact of 90 basis points. I'm also pleased to share that this is the 10th consecutive quarter of double-digit EBITDA margin delivery. The CV segment also achieved the milestone of a double-digit EBIT margin for the first time, which now stands at 10.6%. The profit before tax and exceptional items rose to ₹2,300 crores, an increase of ₹600 crores compared to last year. And we recorded the exceptional items in this quarter, which I already shared with you as part of the safe harbor. The free cash flow was strong in Q3 at approximately ₹4,800 crores, outperforming the corresponding quarter last year. As of December '25, net cash stands strong at ₹3,900 crores, providing momentum for future growth. Go to the next page, please.

Financial highlights on year-to-date basis. Revenue for YTD December reached approximately ₹57,000 crores, representing a 6% Y-o-Y increase. EBITDA margins improved to 12.4%, a rise of 80 bps compared to the previous year, while EBIT margin increased to 10.1%, which is a 130 basis points improvement year-on-year. Profit before tax and before exceptional items was ₹5,600 crores, reflecting a growth of approximately ₹1,200 crores compared to the prior year. Company achieved a strong YTD cash flow performance to-date, generating around ₹5,200 crores in FCF. Return on capital employed continued its upward trajectory and stood at a robust 53% as of December '25, supported by higher profitability. Investment expenditure amounts to ₹2,000 crores, which has been pretty consistent with the guidance provided earlier.

Next page, please.

Now, where did all this come from? So, this is the EBIT walk. The PBT rose by ₹610 crores Y-o-Y, mainly due to higher volumes and better realization. Material and other costs increased largely on account of precious metal volatility, and fixed cost savings were lower largely due to D&A coming down by around ₹193 crores and partly offset by a ₹120 crore increase in employee costs due to an annual wage or salary inflation. PLI and other incentives was down by ₹75 crores. As I shared - last year, we had taken a one-time accrual gain as FY'24 and FY'25 was accrued together. So, last year it was ₹169 crore, this is receipt of the PLI claims which had come through.

Now, this has been partially offset by a gain on EPCG incentive accrual in Q3 FY'26. Overall EBIT margin improved by 100 bps due to stronger net realization, model mix and fixed cost saving.

Go to the next page, please.

Cash flow has been strong and consistent in Q3. We generated a cash of around close to ₹4,800 crores. The achievement was driven by strong cash PAT and significant working capital reversal

owing to increased offtake and consequently higher production level.

Strong FCF performance and a continued net cash position led to a net finance cost gain of around ₹27 crores compared to a charge of ₹125 crore in Q3 last year. The year -to-date FCF stands at ₹5,200 crores with a robust cash profit after tax of ₹6,300 crores, controlled capital

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expenditure, and a much lower interest expenses. Disciplined working capital management helped unlock working capital gain on a YTD basis also. With Q4 typically our strongest quarter still ahead of us, we will continue to strengthen cash flows.

Next slide.

On a consolidated basis, Q3 revenue reached ₹21,800 crores with an underlying EBITDA margin of 12.5% and profit before tax and before exceptional items of ₹2,600 crores. Q3 PBT reflects a mark -to-market gain of ₹295 crores on our investment in Tata Capital as against a loss of ₹2.35K crores in Q2. On a consolidated basis, net cash stood at ₹6,100 crores. The CV business continues to demonstrate resilience and is well -positioned to capitalize on upcoming growth.

With this, I now hand this over to Girish to take you through the business slides. Over to you.

Girish Wagh

Thank you, Ramanan. And on the first page itself, first slide, you see the range of electric trucks that we launched. Last week on 20th, we launched 7 -ton, 9 -ton, 12 -ton, as also a 28 and 55 -ton trucks and tippers in the electric category. In fact, as I also mentioned, we have been working very closely with the customers for very specific deployment of each of these vehicles. I think also very important is these trucks have been developed on the Intelligent Modular Electric Vehicle architecture, which consists of modular base platforms which we use on ICE also. In addition to that, modular battery packs, in-house battery management systems, and e-axes that we have developed, which gives us good flexibility to deliver solutions that meet specific requirements and also ranges.

Going to the next Slide.

In addition to the electric trucks, we also launched, let me go one by one, 17 new trucks, which also included those five electrics on the first slide. So, we introduced the Azura series, which is a completely new platform launch for ILMCV segment, right from 7 -tons to 19 -tons. It gives state -of-the-art cabin, walk -through features with comfort and convenience required for long -distance travel. I spoke about the EV trucks, the left -hand side at the bottom, you can see the launch of all the truck cabins that meet the European safety standards R29 03, with which we bring higher safety on the roads, especially for the occupants, which is the drivers. And I think also something that all the transporters look forward to, which is increased payload as well as increased fuel efficiency in the multi -axle rigid trucks and also tractors, is something we have launched in the heavy commercial vehicle segment. So, those were the new launches, which cover almost entire range and the most important expectations or requirements of the customers.

Moving on.

So, on market share, there was a 100 bps recovery from Q2 to Q3, essentially led by strong growth in heavy commercial vehicle, which is for us 3 -axle and above trucks, 28 -ton and above. Intermediate light, medium, which is 7-ton to 19 -ton, also saw a fair bit of recovery. SCV and CV passenger, I think both the shares kind of remained same over the previous quarter at 26.3 and 35.9, respectively.

Moving next.

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In terms of fleet u

tilization, post GST, one has seen increased demand, especially in specific sectors like auto, consumer durables, etc. And that has therefore led to increase in utilization of HCV cargo. Infrastructure projects also getting back on track post the rainy season, extended rainy season. The tippers also are seeing higher utilization.

MCV cargo, ICV trucks also doing well due to e-commerce and the manufacturing segment uptick as also as LCV buses continue to do well as we see. More importantly, over a period of three years, there has been a significant improvement in the fleet utilization. As you know, this is actually based on the data that we have internally, based on around 1 million Fleet Edge installations in trucks and buses. Based on some other data points, we have seen that the freight rates have also firmed up. And in fact, we have seen in rigid trucks, in heavy, medium, as well as intermediate commercial vehicles, one has seen a 2% to 5% growth in freight rates post GST 2.0 and therefore has led to some improvement in the transporter profitability, especially in the segments that I spoke about.

I think also very important to note is the diesel consumption continues to be at a high level and has grown Y-o-Y. More importantly, the E-way bills rose almost 23% December on a Y-o-Y basis. It also indicates availability of higher freight, or one can also say the higher number of trips. Moving on, specifically by segments in trucks, the trucks, I think the segment grew significantly after a flat H1. Our volumes grew by 24.2%, with HCV at 23.2%, and ILMCV growing at 26%. All the segments have also witnessed a quarter-on-quarter improvement in sentiment index. Sentiment index is a combination of satisfaction with the current state of business and how do the transporters expect the future state of business. And this is also essentially led by increase in demand in certain sectors post GST rate rationalization. There was a strong inventory build-up also happening in certain sectors. Generally, after monsoon, the infrastructure activity has gone up. I have already spoken about freight rates, how they have inched up, which also augurs well as we go ahead.

In buses, I think we have seen a strong momentum now with multiple tender wins, accounting to total of almost 6,000 units, which we will now deliver over period of next 10 to 12 months. Notable amongst these have been the Maharashtra State Road Transport Corporation, Gujarat State, Northwest Karnataka, Telangana. I think these are some of the tenders that we have won. These are all in ICE buses.

We've also seen private segment volume growth specifically in MCV buses, but also more in our vans that is Magic and Winger. While we had bid for the earlier 10,000 tender, we are also going to bid for the new 6,300 CESL tender that has come up. In addition to that, we have also been bidding for the small tenders which have been coming outside CESL.

On the small vehicles, we had new launches, of course, first Ace Pro which happened towards the end of Q2. In Q3 we launched the Ace Gold in the Lean NOx Trap technology. I think both have got established well, and in fact Ace Gold Diesel used to be the mainstay of our volumes till BS4 as I've been saying, I think these products have started picking up volumes and in fact have been instrumental in growing volumes. Our Q3 retails were almost at 45,000, highest since Q1 of FY'24.

Going to the other segment. The parts and services business continue healthy double-digit growth on a Y-o-Y basis. In Smart City we now have, more than 3,600 buses, having covered now almost 50 crore kilometres. We continue to deliver uptime addition of 95%. In terms of

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decarbonization, alm

ost 280,000 tons of CO2 has been reduced with these buses operating on the roads.

In digital, as a part of Fleet Edge, we have come up with new subscription plans which are branded as Lite and Prime. And actually, this also becomes the most attractive value proposition in this particular industry for logistics. And this has therefore led to doubling of the subscription renewals of Fleet Edge, so absolutely on the right track.

International business has been doing well. This year the shipments have grown 70% on a year-on-year basis. And the main contributors have been SAARC with Sri Lanka coming back on track now. So, Sri Lanka has been contributing well. As also Middle East and North Africa, so the new markets that we have entered in; North Africa also doing well, followed by Sub-Saharan Africa. Next.

As we look ahead for Q4. I think Q3 has witnessed very good uptick and sales momentum as also overall sentiment. And as the consumption continues to be at a higher level post GST 2.0 leading to expansion in some of the end-use sectors and infrastructure activity by government, we are looking at improved levels of demand in Q4 as well across all the segments.

And also buses demand will increase now, especially because they are cyclical and do well in Q4 and Q1 of each financial year. Therefore, going ahead, I think on trucks, the sharp recovery in Q3, we are certainly looking forward to continue this momentum in trucks. And in fact, with the launch of these 17 new trucks, we will accelerate the volume growth and increase our presence all the segments. In buses and vans, as I said, we will now start deliveries against the strong government tender wins that we've had in the last two quarters. Small commercial vehicles ; clear agenda of volume ramp-up, Ace Pro, Ace as well as Intra. Parts and services, international business, both growing well this year we will let sustaining the momentum in this quarter and even ahead, and therefore overall, we will continue to drive strong financial performance and consistent delivery of a set of metrics rather than looking at one or two metrics in isolation. So with that, thank you and over to you, Sneha for the Q&A.

Questions And Answers

Sneha Gavankar

Thank you, Girish . Let's start with the Q&A. The first one is from Gunjan, Bank of America. Can you talk about the commodity inflation impact that we've had in the quarter and how is it going to be a headwind going ahead? How significant is it, and have you taken any price hike to offset it? And second realization has come off. So I think Gunjan, you mean ASPs. ASPs have come off quarter-on-quarter despite the better M&HCV mix. What explains this?

Girish Wagh

Yeah. So let me take this. The first one on commodity inflation, we've seen commodity inflations specifically on the PGM or the Precious Group Metals, I think these are the first ones where we have seen higher inflation followed by non-ferrous metals led by copper. I think these two groups have been the main headwind, if I may say so. I think the total hit for us Q3 has been around 50 bps.

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As we look forward into Q4, these are the same set of commodities which are posing some headwinds and steel prices also in open market have gone up. But this is something I think which will continue to be a point of discussion with the steel mills. We don't know how it is going to play out, and maybe from Q1 of FY'27. So, I think in Q4 we are looking at similar kind of an impact due to non-ferrous metals and precious group metals. To mitigate this, we have taken a price increase of 1% in the month of January from 1st January across the range, and therefore, main purpose of this price increase has been

this commodity inflation.

With regard to your second question, which is the ASPs, I mean, you said realization but it's more of ASPs going down. So, see I think while the HCV numbers have gone up, yes, you are right, but at the same time, the ILMCV numbers have also gone up, so have the small commercial vehicle numbers have gone up. And even in buses and vans, being a mean quarter for buses, actually, the small van volumes have gone up. And therefore, net-net, a mix has actually led to the realizations or ASPs going down. But on a Q-on-Q basis, actually, we have been able to increase the realization.

Now, coming to your question on replacement demand, see, while I had said last time that we are trying to develop some robust understanding on the replacement demand, so we continue to try to do that, but I can give some more flavour to you. In this quarter, the replacement demand for trucks is most likely gaining momentum post GST 2.0 because it has prompted the fleet operators to initiate vehicle replacement that were previously delayed. The shift has become more financially viable due to lower EMIs resulting from lower initial prices. I must, however, say that some large operators are still assessing the best approach to input tax credit under the new GST regime. The tax processes are yet to be fully streamlined. We expect better clarity, much smoother procedures in FY'27, which can possibly accelerate this replacement activity. Overall, this trend is likely to support positive cash flow for transporters, the improved financing terms and tax benefits should improve their overall financial position and therefore maybe push replacement demand.

If I may also add, I think a similar trend is being observed in the bus segment, where replacement demand could be a key structural driver, with several states actually prioritizing the phased replacement of aging fleets across both intercity services and within city. This is also likely to support the demand as we go ahead into the next year.
So, that's the response Gunjan to all your three questions.

Sneha Gavankar

Next question is from Pramod Amte, and there are two sets of questions, so maybe I will break up one set for you, Girish and one for you Ramanan. So, Girish for you, you've seen market share recovery from low of June, what has driven it, and is it sustainable? What are your ambitions for the next two, three years? And how is the truck operator profitability and health now versus pre- GST, and how is your supply chain to cater for any demand surprises, and what parts are a challenge?

Girish Wagh

Okay, so Pramod, on market share recovery, as I said, I think this has been led by heavy commercial vehicles and some of the factors, first is the growth in the tipper market where our Tata Motors Limited
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share is higher, we in fact have driven our shares further higher in tippers because of their revenue salience. We've also had specific actions in specific micro markets during the quarter, which have also supported market share recovery. In terms of what do we see going ahead, I already spoke. I think the new launches that we have done, they address almost every category or most important categories for logistics and transportation, and that should help us grow further.

In terms of outlook that you have asked for our ambition, I think, as we have said, that we are not looking at market share as one metric alone, we are looking at a basket of metrics now, which indicate profitable growth, it would be market share at times, revenue share as we calculate internally, it would be profitability, it would be the free cash, etc. And I think we have therefore ambition to drive this profitable growth agenda. That is the response

to the first question.

In terms of truck operator profitability, I think as a response to Gunjan's question, to a large extent, this has got addressed.

In terms of supply chain situation, if I may say, I think with increase in demand across almost all auto sectors, whether it is two -wheeler, three -wheeler, cars, commercial vehicles, at some suppliers and specifically in the area of castings, one has seen the capacity bottlenecks being reached. And therefore, I think there are specific de -bottlenecking actions which have already initiated in the supply chain. While I mentioned castings, in some other areas there could be few more items, but this is what is the higher level indicator in terms of supply chain capacities at this juncture. We don't expect a surprise, as you have mentioned, because I think there has been a good supply chain mapping which has been done. I must however add that the rate at which the demand has gone up and therefore production at all the OEMs is something which is quite significant, which has led to some stress.

There is a working capital question for Ramanan.

Sneha Gavankar

Yes. So, two questions actually. One is, what has been your spend on the new product launches? Has it changed your CapEx plans for FY'26 and FY'27? And on working capital, the release has been quite big. Is it sustainable?

GV Ramanan

Yes. So, Pramod, your question on CapEx, I think our guidance, we continue to remain within the guidance that we had given. And we have been pretty disciplined in terms of our CapEx spend and without compromising on the need for new tech. So, in terms of CapEx, I think we will continue to be within our guidance.

Now, coming to your question on cash, I also see Kapil also has a same question on FCF. So, I will probably combine the two. We have been working to clearly smoothen the volatility in cash flow and have been FCF accretive since YTD Q2 this financial year. Strong FCF that you see in this quarter is a clear result of strong operating profit, efficient working capital management, and

disciplined spending. And as we kind of go forward, even on cash flow, we did give a guidance and we are pretty confident that we will meet the guidance that we had given on cash flow. And generally it's a known thing, always, the second half of a year in a cyclical business like CV is

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always favorable from a cash standpoint. And we will continue to kind of watch out for this and maximize.
Thank you.

Sneha Gavankar

Next question, Girish, there are quite a few questions on the bus business, so I'll just probably combine all of those. So one is, can you share some color on the growth outlook for the bus business? And recently you had mentioned an increase in bus bodybuilding capacity. Can you talk about what is your current capacity and utilizations? And also on the EV buses, how are the bus orders? And would you think of consolidating all your bus bodybuilding businesses into one entity?

Girish Wagh

Yeah, so Jeehan, let me first talk of bus business growth. So first of all, I think Q4, Q1 are traditionally high demand quarters, and that's how we are seeing these two quarters. Overall, next year you should see the bus business growing at a higher single-digit is what we are looking at, at this juncture. In terms of bus bodybuilding capacity, yes, I did mention about increasing the capacity by debottlenecking, so it is roughly around 15% increase that we have done in anticipation of higher demand in Q4 and Q1.

Your next question is about, allocation of buses. So see we have two bus bodybuilding facilities. One is the Tata Motors Body Solutions Limited, and the second one is Automotive Corporation of Goa Limited. So, generally

there are specific set of models that we do at the two entities, although we have fair bit of flexibility. To get in efficiencies, we have allocated certain specific models in these two. As far as EV is concerned, currently EVs have been productionized only in Tata Motors Body Solutions Limited. But as we go ahead, yes, of course, we are going to productionize that in Automotive Corporation of Goa Limited also.

Sneha Gavankar

So, just staying on the bus business, there's a question from Jinesh as well. How many bus tenders did Tata Motors win in the recent 10,900 E-buses? Any reason for being cautious, as this tender was under PM-e Sewa?

Girish Wagh

Yes, so Jinesh. See, as we have said very clearly in this tender business, we are going to look at three things based on our experience of running these buses in multiple cities. First is the payment security mechanism, which was addressed in this 10,000-odd tender. We are also looking at an asset-light model, which was addressed indirectly in this tender, and therefore we participated through a consortium model. So in most of our bids, a consortium partner who is a bus operator was front-end, front-face. Part of the buses we also bid directly from Smart City. And there is a third thing that we are looking at, of course, financial prudence and accordingly we quoted in these tenders.

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We are not L1 in any of these tenders, and I think we will continue to stick to three requirements that I have spoken about is payment security, asset light and financial prudence. As we go ahead, we will get more and more knowledge on each one of these three and see how we participate in the tenders. We want to be very patient for this business because this is just the beginning. As you know, the government has already said that almost close to 850,000 buses will be

converted into electric as we go ahead, and we have a sufficient runway ahead. I think, on one hand, we are building a very strong, stable business of running these buses, get robust systems in place and therefore create a model with which we will start getting into also operations of these buses. So, that's where we are, Jinesh, as we go ahead. I think he has some more questions, also. If you want, I can take those.

Sneha Gavankar

The other question was on the capacities that we have on M&HCV and ILMCV.

Girish Wagh

Yeah. So, see, as far as M&HCV, ILMCV trucks capacity is concerned, we have fair bit of flexibility in the sense we can manufacture these in four of our plants, Jamshedpur, Lucknow, Pune and Dharwad. And as far as in-house capacity is concerned, there is no concern. What I answered some time back, was with the sudden increase in demand across all the auto segments has led to some capacity press in specific areas like castings, etc. So, we are watching the situation, wherever decisions are required from longer term perspective, we are going ahead with that. And we are at a fairly okay levels in terms of utilizations prepared for the higher demand as it comes next year.

Sneha Gavankar

Next question is from Kapil. What should be the direction of margins and what are going to be the drivers for the same?

Girish Wagh

So Kapil, I mean, in terms of drivers, you know better than all of us. So realizations, of course we have been focusing on that. On the cost side. I think in the call we've spoken at least in two, three questions about where the commodity challenge is being seen. And to address that we've already taken a 1% price increase from 1st of January. I think Ramanan has also explained in his presentation. What are the other cost elements which have hit us in Q3? Some of those are of course one time. Therefore, we will start

getting benefit as we get into the next quarter from

here. So yes, I think we continue to work on a further margin improvement. I think as demand goes up, further scale benefits will also come in.

Sneha Gavankar

Next question from Raghu of Nuvama and some of these have already been addressed so I'll only pick those which are new. Can you indicate if the double-digit growth is likely to continue till September? And the share of tippers has gone up. Do you expect tipper demand to remain

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robust ahead? In HCV cargo utilization is at about 80%. At what level of utilization do you think fleet operators start to add trucks? And another question on delinquencies and availability of finance.

Girish Wagh

Yes, so thank you, Raghu. And, frankly, I'll be delighted to give a one-word answer to your question two and three, which is yes, right? But I think I look at it like this, the Q3, which has gone by and Q4 we are seeing a Y-o-Y growth also because of the base effect. And I do see that base effect continuing in H1 of next year also, right? And therefore if GDP continues to grow at this rate, consumption remains at a higher level, the infrastructure mining activity continues at this level, then I think we should see this kind of a growth.

Share of tippers yes, indeed it has gone up. And it is not only mining and infrastructure activity, but also the urban construction activity is also leading to an increase in tipper and the RMC products that we see. And with the focus of government on these sectors, we see this demand to remain focused ahead.

Your next question, Raghu, is in HCV cargo utilization is at 80%, at what level of utilization?

Frankly, we still don't have that kind of data and solid backup to say that, yes, I think we are close to this. But as I answered earlier, I think with the drop in initial prices and some of the customers, especially the fleet owners, are looking at which of the GST regime they should take, they should follow, right? And therefore, this is something which should get clear as we get in towards Q1.

And that is also something which should help replacement demand, probably.

You also have asked a question on can you indicate ease of finance availability for operators, trends and in delinquencies? So, I know, yes, there was one report which was released in the

quarter gone by on increasing delinquencies, et c. But that was actually based on data which was at least a quarter prior to that. Our direct connection with the financiers clearly indicate that the delinquency trends have stabilized, and are improving over the past few months, with clear green shoots visible across major financiers. And in fact, see, I mean, this kind of a growth, 25% of the growth isn't going to happen unless the financiers bring in 25% more money. I must also say the various delinquency buckets that they look at, 30 to 90 days or 91 to 180 days past due, have actually moderated compared to the earlier stress periods, supported by stronger collections, tighter underwriting and more disciplined risk management. I had also highlighted some stress in UP, APTS and Karnataka. Even in these states, there has been an improvement, although they still remain a bit behind other states comparatively. I hope, Raghu, this answers all your questions. I think he has asked another question.

Sneha Gavankar

I will go to that. I will give you a break, and I move to Ramanan. So, warranty cost has increased by ₹94 crores. How much was the warranty cost to revenue this quarter, and what is the reason for the increase?

GV Ramanan

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I think Raghu, thanks for that question. The increase in warranty cost is largely on account of revision in rates, taking into account our claim trends and also the part price cost, right? In terms of the warranty as a percentage YTD, we are trending at around less than 2%.

Sneha Gavankar

I will move to the next question from Nishit on exports. Exports have recovered sharply over the last few quarters, which markets are driving this? And our exports are still much lower than the peak that you saw in FY'17. So, is it fair to expect strong double-digit growth in exports over the next two, three years as well?

Girish Wagh

Yes, so see. You're right. Exports have recovered sharply. And in terms of numbers, yes, we are still behind or much behind the peak in FY'17. But I think in terms of revenue, you're already very close to that.

Going ahead, yes, I think we should see a strong double-digit growth, and I can certainly speak for the next year. And current markets which are driving this growth, which I also explained in the presentation, essentially Sri Lanka, SAARC, and also to some extent recovery in Bangladesh. Also there is fresh demand in Middle East and North Africa. I think in this whole thing our basket of international business markets have got pretty well balanced. In FY'17 Nishit, we had a very, very high salience of SAARC, very high salience. I think it has moderated significantly now and we are happy with the market mix that we have now, which we would like to continue to build upon. And then recently new set of products, which have launched international markets as well as some of the domestic ones, which can also go. Yes, we will continue to drive growth in the international markets.

Sneha Gavankar

Next question from Anshu Pirani on buses. Unlike most segments in trucks, buses have already crossed the pre-COVID levels in terms of volumes. How should we think about growth in this segment? Is it a structural category or will there be a cycle here as well going forward?

Girish Wagh

So, see in buses, especially in MCV buses, we know half the demand comes from government tenders, STU, etc. And I think that post-COVID one has seen a very strong demand coming from a lot of STUs. I spoke in my presentation about the new tenders, which we will now be fulfilling over the next one year. I do feel that yes, this should continue for some more time, and we are also seeing a good demand coming from the school vans kind of a category. In addition to that, I would say electric buses, which are just at the very, very initial stages of growth, can also be a category to look forward to in terms of higher growth as we go ahead. So yes, I do look forward to growth coming in buses as well.

Sneha Gavankar

Just a couple of questions which are unanswered from Raghu. One is what are the current levels of discounts? And would you expect reduction in discounts given that there is a strong demand? And then can you talk of cross-selling opportunities between Tata and Iveco products in major regions?

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Girish Wagh

So Raghu, on the first point, I think see we have been ensuring that we keep on increasing the value proposition and the value being delivered to the customers. Even in the recently launched products, we have been able to deliver significant profitability improvement to the customers. And then once that is established, then we see how much of that value we should be sharing between the customer and us. And I think, therefore, going ahead, yes, there will be possibility of the discounts moderating further. But this is something which will depend very specifically on segment to segment, market to market,

a behaviour which will continue to be different in combination of geography and a particular segment.

In terms of cross-selling opportunities, Raghu, I think I will not be in a position to give more details than what has already been said. But possibly, I think when we meet next or maybe one quarter after that, I think we should be in a position to give much better clarity on where all our products could be sold.

I can only add that recently signed EU FTA, we could benefit to this particular lever, not only on the products, but it will also see good benefit on the components or aggregate that we are sourcing from Europe. Not to a great extent from revenue perspective, but still a good possibility and also vice-versa.

Sneha Gavankar

The next question from Gunjan, are you seeing a shift from used market to primary new market due to the GST revision and superior efficiency in the newer trucks, now that BS4 trucks have aged?

Girish Wagh

So, Gunjan to an extent not so much, because as I mentioned last time also, we now have 11 operational Rewire centres, most of the inflow there is more of cars, we do have inflow of trucks, but it is still low. What it means is the fleet owners are buying newer trucks and probably selling them off to the second user just before the end of the warranty period, and they are therefore selecting more profitable newer trucks. Older trucks which pass on to the second owner at some point of time, maybe third owner, then gets deployed over a shorter route, shorter duty cycle. That is the kind of behaviour we are seeing.

And in terms of overall replacement, I think you had asked the first question, which I have already tried to answer, because the answer is not fully satisfactory, I know, but this is the only thing that we know as of now.

Sneha Gavankar

Next question from Amey, which segment will see higher competitive intensity and peers have also been aggressive in product portfolio expansion and heavier segments.

Girish Wagh

I think in every segment, we'll see competitive intensity, yes the intensity may vary a bit from segment to segment, but I can't see of any segment which will have very low intensity or competitive intensity.

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Sneha Gavankar

Will you be able to provide any guidance across segments for growth for the next financial year?

Girish Wagh

I think as I mentioned in the last analyst call also, I would certainly like to see how this whole quarter pans out. And then when we meet next, of course, we will be in the position to do a better guidance for next year. But as it appears, as the momentum continues, next year first half, we should see good growth on a Y-o-Y basis also because of the base effect of the year that we are in.

Sneha Gavankar

I'll just check for the queue if there are any

Girish Wagh

Pramod has asked, how is the participation from STO . Probably, he means small fleet owners. So Pramod, if your question is about small fleet owners, we have seen participation across and in fact, I mentioned, I think large fleet owners are some of them are in fact deciding which credit route they should be using for GST, but otherwise, small fleet owners are certainly coming ahead.

And his next question, how do you see cyclicalities of industry evolving?

Sneha Gavankar

We will take it offline.

Girish Wagh

Yes

Kapil has asked, bus tenders, is there a cost pass-through clause?

No. Kapil, no.

Sneha Gavankar

All that we have in questions . Well then thank you for participating. Any questions that remain unanswered, we can take it offline. Thank you .

Call: May 2026

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort
Mumbai 400 001

May 19, 2026
Sc no. - 71
National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra(E), Mumbai 400 051

Dear Sir/Madam,

Sub: Transcript of the Earnings Discussion/Conference call

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and further to our letter bearing sc no. 62 dated May 5, 2026, we are enclosing herewith the transcript of the earnings/conference call conducted after the meeting of Board of Directors held on May 13, 2026 on the Financial Results of Tata Motors Limited (formerly TML Commercial Vehicles Limited) ('the Company') for the fourth quarter and financial year ended March 31, 2026.

The above information is also available on the website of the Company at [www. cv.tatamotors.com](http://www.cv.tatamotors.com).

This is for information of the Exchanges and the Members

Thanking you.

Yours faithfully,
Tata Motors Limited
(formerly TML Commercial Vehicles Limited)

Sudipto Kumar Das
Company Secretary
Encl: as above
Tata Motors Limited
May 13, 2026

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Tata Motors Limited (Formerly known as TML Commercial Vehicles Ltd)
Q4 FY26 Earnings Call transcript

Management:

- MR. GIRISH WAGH, MD & CEO, TATA MOTORS LIMITED
- MR. G.V. RAMANAN, CFO, TATA MOTORS LIMITED

Presentation

Sneha Gavankar

Good evening. Welcome to Tata Motors Q4 and Full Year FY26 Results Call. I have with me Mr. Girish Wagh, Managing Director and CEO, G.V. Ramanan, CFO, and the Investor Relations team. We'll first walk you through the results presentation, and this will be followed by Q&A. As a reminder, all participants will be in listen-only mode, and we'll be taking your questions via the Team's platform. The same is already open to you for submitting questions. You may please mention your name and the name of your organization while submitting your questions. And with that, I hand over to Mr. G.V. Ramanan.

G.V. Ramanan

Thank you, Sneha. Go to the next slide, please. Before we get into the numbers, a quick word on

the presentation format. Demerger being effective from 1 st of October 2025, Tata Motors is now a pure play commercial vehicle company, and this is a defining shift that changes how we think is most appropriate to present our financials.

Historically, we reported a CV segment. It was an internal construct that carved out CV operations from within the erstwhile combined entity. That was a practical necessity then. Starting this quarter, we are presenting standalone financials, including joint operations with Tata Cummins as our primary lens. This gives you a cleaner, more complete, and more directly comparable picture of the business going forward.

Operating segment, namely the CV segment comprising TML and its subsidiaries, is now included in the consolidated financial statements.

Go to the next page, please. FY26 is a year of strong execution across product , market and strategic initiatives. Now the key highlights included - We launched 17 new next -generation trucks at the start of Q4, and earlier in the year, around June, we launched the Ace Pro, which is positioned as India's most affordable four -wheel mini truck. In February, we achieved a significant milestone by securing th e largest -ever order for 70,000 units of Yodha and Ultra T.7 vehicles for Indonesia. We also secured orders for 5,000 buses from multiple STUs supporting India's mass mobility transformation. Reflecting our focus on operational excellence , Pantnagar plant received the Golden Peacock Award for Quality, and we also won multiple honors at the Apollo CV Awards 2026.

Go to the next page,

please. Moving to the major strategic and corporate development during the quarter on the Iveco transaction. Most of the regulatory approvals have been secured, and we are actively pursuing the remaining approvals. We expect the transaction closure by Q2 FY27. The Board has recommended a final dividend of Rs. 4 per share, and this is subject to shareholder approval. This will result in a cash outflow of close to R s. 1,500 crores.

Tata Motors Limited

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Can we go to the next page, please . Let me now take you through the full year financial picture, and I think the headline really does say it. Consistent growth across every metric that matters. Starting with the top line revenue, came in at R s. 77,000 crores for FY26, up from R s. 66,000 crores in FY23. Our revenue improved 11% YoY in FY26. The underlining demand trajectory has been firmly upward. While I'm really pleased with the margin story, EBITDA margins have expanded from 7.8% in FY23 to 13.2% in FY26. That's nearly 550 bps of structural improvement over three years. Just not a one -quarter phenomenon. In absolute terms, EBITDA has doubled from R s. 5,100 crores to R s. 10,200 crores now. PBT before exceptional items stands at R s. 8,700 crores and is very robust. We crossed the double -digit EBIT margin for the first time at 11%. This is the result of operating leverage playing out as we scale, combined with cost discipline, improved realisation, that we've maintained across all the business. What I also want to draw your attention to is the chart we're particularly proud of is the bottom left panel on non -cyclical revenue growth. Over the period, non -cyclical CAGR is running at 2.7x the cyclical CAGR. We've been deliberately building this mix, and this is now showing up meaningfully in the numbers. On capital allocation, free cash flow generation was approximately R s. 9,200 crores in FY26. That's about 12% of revenue, and even after investing R s. 2,800 crores back into the business, we remain strongly cash generative. Finally, the Auto ROCE stands at 72% is an industry -leading number, when EBIT doubles, capital discipline holds, returns follow. That's the flywheel working as intended.

Next page, please. We saw a strong volume momentum across product lines in FY26. Q4 wholesale reached close to 131.8 K units, 25% year -on-year increase. For a full year, total volume stood at 4,28,000 units, registering a 14% increase YoY. Looking at the product lines in Q4 FY26, all of them registered a double -digit growth on a YoY basis in Q4.

International business continues its growth trajectory with YoY growth at 17% in Q4 and 54% for the full year FY26, mainly led by the SAARC countries.

Next page, please. This slide represents the summary of standalone financials of Tata Motors, including the joint operations with Tata Cummins. Revenue for Q4 reached R s. 24,500 crores, marking a 22% YoY increase due to continued quarter -on-quarter ASP improvement driven by

pricing discipline and favorable mix. EBITDA margin expanded steadily through the year and exited Q4 at 13.9%, up 130 bps YoY. This is the 11th consecutive quarter of double-digit EBITDA margin delivery. EBIT margin for Q4 stood at 12.1%, with FY26 closing EBIT at double-digit as well another important milestone for the business. All four vehicular business delivered healthy margin and improved unit economics. Non-cyclical business continued to grow at nearly 1.6x the cyclical business supporting the overall profitability for the company. For the full year, profit before tax and exceptional items rose to R s. 8,700 crores, an increase of R s. 2,700 crores compared to last year. Cash PAT almost entirely translated into free cash flow. With disciplined working capital management for the full year,

free cash flow was R s. 9200 crores. It is 12% of revenue. This led to a year-end net cash position of R s. 7500 crores as of March 31st, 2026.

Moving over to the Q4 EBIT walk. EBIT margin expanded to 12.1%, up to 20 bps YoY, while PBT before exceptional item increased to approximately R s. 3000 crores. Higher volume, mix, price realization together contributed nearly 250 basis points to EBIT margin improvement. Variable cost impact of 50 bps on account of elevated material cost due to inflation in key commodities, including steel, aluminium, and copper. We also continued to see pressure from precious metals

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and certain imported components during the quarter. In terms of other costs, lower depreciation and product development impact contributed positively by R s. 102 crores. Additional benefit from PLI and incentive benefit was approximately R s. 25 crores. Overall, despite commodity headwinds, business delivered another quarter of strong structural margin expansion driven by higher volume, better mix, and improved realization.

Moving on to the cash flow now, as mentioned earlier, our free cash flow is growing consistently over the years. Full year FCF for the company stood at R s. 9200 crores. Performance was driven by strong operating profitability, efficient working capital management, controlled CapEx execution, and lower finance cost. Working capital remained very well controlled with trade receivables at R s. 376 crores, inventory a burn of R s. 690 crores. This was largely due to strategic inventory that we built up towards year-end in the context of the ongoing geopolitical development. Payable and acceptance was a release of R s. 2,057 crores. Let me also take a moment to acknowledge the fact that this FCF is also taking into consideration tax payment which we did not have in the prior years. Our cash conversion cycle best-in-class at negative 31 days. It means the business continues to be self-funding on working capital.

Moving to the investment spending. For FY26, it was approximately R s. 3,000 crores, and this remained fully aligned with our planned roadmap. Total R&D expenditure amounted to approximately R s. 1,700 crores. Capital expenditure and other investments totaled to approximately R s. 1,100 crores. For FY27, we expect investments to remain broadly in a similar range. Our investment spends has been consistent with the guided range of 2% to 4% of revenue, and growth and tech investments have always been prioritized.

Moving on to the consolidated financials, the slide presents a summary of consolidated financial encompassing both automotive and the non-automotive subsidiaries. For Q4, consolidated revenue stood at R s. 26,100 crores, and EBITDA margin for the quarter came in at 13.1% while PBT before exceptional item was R s. 2,400 crores. On a full year basis as well, consolidated performance remained very strong. Revenue for FY26 reached approximately R s. 84,000 crores, and the EBITDA margin continued to improve steadily through the year, closing at 12.3%. Consolidated free cash flow in Q4 was particularly strong at approximately R s. 8,000 crores. This also included advance receipts related to Indonesia order. As a result, strong operating performance, disciplined cash management, year-end consolidated net cash improved significantly to approximately R s. 13,700 crores, and this was R s. 4,000 crores in FY25.

With that for business update, I'll now hand this over to Girish. Over to you, Girish.

Girish Wagh

Thank you, Ramanan. So, let's begin with the market share. I think the market share has been trending upward, and Q4 VAHAN market share improved sequentially with measurable gains in buses and vans, that is, CV Passenger and SCV Pickup. Heavy

Commercial vehicles continue to consolidate its position, and in fact, in HCVs, we posted our highest offtake market share in a decade. So, I think overall the market share story has been strong in Q4 for the year gone by. Next, on the fleet indicators and transporter profitability. Fleet utilization actually held at healthy levels through the year. This is based on our Fleet Edge data tracking almost a million vehicles, and this indicates a sustained freight activity. Transporter profitability remained

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resilient, which continues to support new vehicle purchases. Diesel is the single largest operating cost for a transporter and therefore is a key monitorable as we enter FY27. Going ahead, as I have said, H1 was muted, weighed down mainly by Operation Sindoor -related sentiment and an early monsoon onset that compressed activity across some of the market. But H2 staged a clear recovery driven by the GST 2.0 -led consumption demand , and Q4 was clearly the standout quarter of the year. As we see, the demand fundamentals actually remain intact. As far as volume is concerned, the offtake TIV grew 19% YoY in Q4 while Tata Motors volumes outpaced the industry at 25% YoY growth. For FY26, the TIV growth was 12.5%, and it marked the highest ever annual volume, whereas Tata Motors grew 11.6% YoY. The freight index edged up quarter -on-quarter through Q4 on the back of firm consumption which softened a bit in March and April. E -way bill generation grew 15% on a YoY basis in Q4 and, in fact, accelerated to 19% YoY growth in March 2026. April 2026 continued in positive territory at a 12% YoY growth, which, in our view, is a reliable proxy for the underlying freight activity. Diesel sales rose 8% YoY to 8.7 million tons in March, reflecting strong commercial activity. April was at around 8.3 million tons , which is 0.25% YoY growth. FASTag transaction volumes remained flat in both March and April. On the supply side, we did see for international business vessel transit delays, which were then proactively managed and exposure to affected trans -shipment hubs like Dubai/Doha has been contained. We undertook a structured review of more than 130 Tier 1 suppliers for energy dependence, especially LPG, and their supply chain resilience. We completed this exercise and have taken quite a few actions to improve the supply chain resilience. The export plans for the Middle East and North Africa region have been recalibrated in response to the evolving Middle East situation, and it will be prudent to say that the sentiment remains cautious and is being monitored very closely . Coming to the businesses in Trucks, we strengthened our product offerings with the launch of the Azura range in ILMCV, and of course, in HCV, we launched a few of new trucks with higher payload and higher fuel efficiency. Now our entire truck range actually meets the stringent European safety standards on all the cabins. In buses, we enter FY27 with a solid government order book providing near -term volume visibility. In SCV Pickup, we broadened our lineup with Ace LNT and Intra EV launches, and this helped therefore to improve the volume growth in Q4. In the Parts and Service business, we are able to sustain the higher growth trajectory, and in fact, I must mention that for the diesel exhaust fluid, which needs technical grade urea, there was a significant support from the government to ensure that sufficient quantity is made available and vehicles keep running in an uninterrupted manner. In Smart City, we now have more than 3,815 cumulative e -buses deployed with almost 59 crore kilometers under the belt, and we continue to deliver more than 96% uptime. In the Fleet Edge business , subscription renewals almost doubled from Q1 to Q4 with launch

of new value propositions during the year.

On the sustainability side, very happy to report that we had the highest ever EV retails in Q4 since the FAME incentives have been discontinued. This is also, on the back of the new products that we have launched, including Intra EV. In Trucks, we signed an agreement with BillionE Mobility and initiated the deliveries of the 55 -ton electric tractor, and we work closely with the

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customers to actually deploy these vehicles in their duty cycles. We also signed an MOU with the V.O.C port in Tamil Nadu for supplying and doing trials of 40 H2 -ICE trucks. We have additionally received orders for around 250 electric buses.

Going ahead in Q1 for trucks, the priority is to drive growth through the Model Year '26 portfolio, as also the higher payload variants and the increasing battery electric vehicle portfolio. In buses, the focus is on rebuilding market share on a profitable basis while converting the government tender pipeline into supplies. For small commercial vehicles the objective is to sustain the volume momentum from Ace Pro, Ace, and Intra and build on the market share gains achieved in the latter half of FY26. For Parts and Services, the goal is to step up the growth to portfolio broadening and a fully digitalised demand and supply chain.

We are cautiously looking at near-term headwinds, especially the commodity headwinds, which I already see a few questions being asked about and a subdued sentiment in Middle East and North Africa. Needless to add, I think diesel prices will remain a very, very key monitorable. But I think despite all this external noise, actually the freight availability and the demand fundamentals remain robust, and with our refreshed product portfolio, I think we are placed well to manage this particular external headwind that we are seeing. So that's the summary from our side. We get into question and answers now.

Questions And Answers

Sneha Gavankar

The first question is from Kapil from Nomura. What is the growth outlook for MHCVs, LCVs in FY27? And how much risk do you see to this from fuel price hikes? And do you think it will be a more back-ended H2 FY27 growth? Okay, and then maybe I'll take the next question.

Girish Wagh

So, Kapil on the growth outlook. See, the April volumes have also been good for the industry, and in fact, we have seen a healthy double-digit growth in April. We have now been through almost half of May, and actually, the momentum, as I said, the underlying demand fundamentals are still there. As I said, I think we are monitoring all the external factors, especially the diesel prices, which will have a significant impact on how the market pans out because diesel will have at least 30% to 50% impact on the total cost of ownership. And I think at this point of time, I would say that we will have to take quarter-by-quarter rather than projecting for the whole year with the kind of event that we are challenged with. And I would say, therefore, that despite this, we should see a single-digit growth, if not more, in Q1. I think that's what I would like to say at this juncture with regard to the growth outlook, and as we get in touch again, probably we will be more wiser, or this event would have been become more clearer for us to give a longer term visibility.

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Sneha Gavankar

The next question from Kapil itself, but a lot of other people have also asked the same question, is around commodity cost pressures. So, how much of it is expected in Q1? How much of it is getting passed on? And what will the competitive intensity be like, and the impact on margins?

What will be the drivers for margins from here?

Girish Wagh

Okay. So, I think the commodity headwinds are certainly serious, and we've already seen around 100 basis point impact in Q4. Beyond the impact in Q4, we have also seen significantly higher impact being seen in Q1, which is the quarter that we are in now. Now to address this, we have taken a 2% price increase in the month of April, but we have decided to not pass on the entire commodity increases and we will work on the cost levers because we don't want to impact the demand momentum by passing on the entire commodity increases. So we will work on the cost side, expense side to manage the financials.

As far as margin drivers are concerned, Kapil and since a few others have asked this question, I would say clearly it will remain the same whether these commodity headwinds are there or not, which is about going on improving the value proposition for the customer. And the second one is I think keep managing the costs, expenses, and the expenditure which is controllable and, in our hand, I think that's what I would say as far as margins are concerned.

Sneha Gavankar

Sir, next question from Nishit of Axis. When will we start executing the orders of 70,000 units to Indonesia? And will the entire order get delivered in FY27 itself?

Girish Wagh

So we have progressed well on the Indonesia order. I'm pleased to tell you that we already have the product homologated in Indonesia, and our first shipment is already on the seas. And we will actually ramp up the supplies quite rapidly. I think we will probably talk about it as we go ahead and meet again quarters ahead in terms of what is going to be the actual delivery timeline. But of course, we are trying to ramp up the deliveries pretty fast.

Sneha Gavankar

Thank you. So Ramanan, maybe this one coming your way. What are the key reasons for delay in closure of the Iveco deal? Earlier, we were expecting closure by April/May. And how are you looking at the acquisition of a 6-7% stake in Iveco by an activist hedge fund from the market? How can this impact our deal closure or deal value?

G.V. Ramanan

Yeah, so I think good question, Nishit. As you know, Iveco has a strong global footprint, right? And getting approvals from various regulators is time-consuming. But despite that, I think we have received almost all the approvals, barring the last two financial regulatory approvals which are for France and Spain. We are working towards closing this at the earliest, and we expect this to kind of spill into Q2, and that's where our timeline for deal closure is going to be Q2.

On the second part of the question, on the investor, I think we are confident that the Iveco

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investor would see value in our offer and would support the deal.

Sneha Gavankar

Thank you. Next question is from Pramod Amthe, InCred. ASPs have been dropping YoY. Is it because of discounting trends or is it because of change in product mix.

Girish Wagh

So, Pramod, I'm happy that you asked this question because actually we had also engaged offline with some of you to explain this. So, actually see the ASPs are not reducing. Segment by segment actually, the ASPs are increasing, and in fact, in trucks, there is a healthy increase in ASPs on a YoY basis. The key reason for this drop wherein if you divide the revenue or the turnover with the number of vehicles sold is essentially due to the increase in number of vans in the volumes, and compared to last year, we hardly have any electric buses being sold this year. This alone is one very important reason for the change that one has seen in terms of the ASPs.

And as we go ahead, when we have electric buses coming bac

k into the volumes and also have

electric vehicles sold in some of the other product lines, actually, we will see a positive impact on the ASPs.

Sneha Gavankar

From Pramod itself. A couple of other questions. Can you talk about segment-wise drivers and challenges for FY27? And in SCVs, with the new launches of EVs and LNT has the cost economics turned favorable to ease the onslaught of three wheelers?

Girish Wagh

So, I think, let me first answer the second question because it is a really good question. So, as a part of this quarterly connect, I have engaged with most of the financiers, both Banks and NBFCs, and invariably, I have heard about improvement in the asset quality for all of them in SCV Pickup. And the answer to your question is actually yes. Where in you've asked whether, with the launch of new LNT etc. whether the cost economics have turned favorable. Yes, I think at least the asset quality for these vehicles has improved significantly for the financiers.

With launches of new EV, yes, I think the operating economics are becoming quite favorable with two products, especially one is Ace Pro and second is the Intra, and therefore we are seeing a good pull for these vehicles. Now, your question about segment-wise drivers and challenges

for FY27. See, I would suggest that we actually go quarter -by-quarter, which is what I answered to Kapil also, and frankly, at this juncture, we don't see any drop in freight availability. The real challenge, in our view, the first immediate challenge is going to be what happens to the diesel prices, and that's something that we need to monitor. I think the freight availability probably continues to be there across all the segments.

Sneha Gavankar

Yeah. I think most of the ones which Raghu has said have been covered. But I've got a question separately on email, so maybe I'll read that out. This is from Gunjan, BofA. Can you talk about truck operator sentiment on ground more recently? What does your experience of past fuel price increases tell you about the industry cycle? What variables matter more from a cycle perspective? Does replacement cycles still play out given the aging of trucks?

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Girish Wagh

Okay, so actually Gunjan, we have stopped doing that sentiment study, which I used to report every quarter. We are actually revisiting the entire methodology to make it more relevant to the current market conditions, and probably once we restart, we will come back on that. But if I were to put together some anecdotes and therefore tell you, I think amongst the fleet owners, diesel prices and how they pan out is actually one of the big question mark. And due to that, I think at times the customers are postponing their purchase decision making, maybe closer towards the month end. But this is something which I think the fleet owners, the customers are going through largely on the heavy side. As you go down towards smaller vehicles, I think the uncertainty is lower is what I would say, which also probably indicates freight availability as we go down. And in fact we have also seen for the whole of last year, SCV pickup, and ILMCV ; ILMCV is 5 tons to 19 tons have actually showed the highest growth rates, and we continue to see that even in this particular quarter. So I think that's what I can answer right now in terms of sentiment, Gunjan. What was the second question?

Sneha Gavankar

Does replacement cycle still play out given the aging of trucks?

Girish Wagh

Yeah, I think I've been saying this for, true replacement being happening on ground. That means a truck being taken out from the system and then replaced by a new truck. I should see good number of trucks coming to our scrappage centers, but actually that still doesn't happen.

Yes, it

may be true that we are not available at all the locations, but we are already there at 11 locations. I think the inflow continues to be low, and therefore, in my view, the fleet owners do replace the trucks after four to six years, after the warranty period is over.

But I think it changes hands, and then it continues to remain in usage for smaller duty cycles, lower distances, lighter loads, or whatever. But I think some of these trucks continue to be there. But if I were to answer your question only for the large fleet owners who replace their vehicles after four to six years, I think we have been working on that data. I would say that at least probably 40% of the volume was related to these large fleet owners replacing their trucks with new ones.

Sneha Gavankar

So just I believe we are having a technical glitch, and people are not able to post the questions online. So I'm getting them via email. So I'll be reading out as they come.

Girish Wagh

Yeah

Sneha Gavankar

So the next question, again from Gunjan. Does the mid -teens EBITDA margin guide hold despite cost headwinds?

Girish Wagh

So Gunjan, whatever I answered to Kapil and then Pramod holds good. I think at this juncture

we will have to go really quarter by quarter . And let me tell you, I think the commodity inflation which has happened, including rupee devaluation, is quite severe, and we are trying to fight it
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out. And as I said, obviously we are not passed on the whole increases. It's out of question because we don't want to completely destroy or disturb the demand growth momentum. But we have increased our cost -side efforts, and our endeavor will be to continue delivering good margins.

G.V. Ramanan

And if I may just add in just a correction, Gunjan. Our guidance was teens and not mid -teens .

Girish Wagh

Next

Sneha Gavankar

Yeah. So, international growth guidance, given the uncertainty in neighboring markets .

Girish Wagh

I think I did answer this question in response to question from Pramod. But just to recap, I think we do see some pressure in Sri Lanka, especially because of reduced availability of fuel, the prices going up. We do see some impact in Middle East because, of course, the war is happening there. So we have had no shipments to Middle East in the last two months. We're trying to find out alternate routes or logistics to ensure that the vehicles can reach there. So that's what I see the impact right now. But we are trying to recover this through increase in volumes in other markets. And here the Indonesia order is also coming to our rescue. So, I would say that even on international market we will have to take it, a more quarter -by-quarter approach in view of the uncertainties.

Sneha Gavankar

Okay. I think we've now resolved the glitch. So, you can please post your questions on the chat itself. But in the meanwhile, while that comes, Ramanan sir, a question for you. Is there any clarity on the financing structure for Iveco ?

G.V. Ramanan

I think as we had shared earlier, our initial plan for financing is going to be through a bridge loan and subsequent refinancing at this point of time, all options are open. So we've kept both equity and debt still open. And I think closer to date we will finalise the percentage of equity or debt.

Sneha Gavankar

Okay.

Girish Wagh

Sneha, there is a question from Raghu which we have missed. I mean, quite a few of his questions we have answered. But there is one question I will take, I mean, two questions he has asked. Can you please share Iveco FY26 financials, including defense if possible? So no, and I mean in fact they have already released their results in the last week. So, you can have a look at those.

You have a

sked a question on what is supporting market share in tractor trailers, buses, and LCVs in the recent times? So I think very clearly the new product launches and therefore the product superiority is clearly one of the reasons that is supporting this. I think the new products
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that we've launched, whether it is higher payload, higher fuel efficiency, are clearly or the Azura range. I think these are the ones which are driving higher traction. I must also say that our strategy at micro -segmental level actions is also helping. Micro-segmental level will be for geography and a particular end -use segment. We are having differing strategy and also prioritizing amongst those micro segments. So that's something which is helping us.

I must also add that with the customer success centers now deployed across the country at more than 100 dealers, I think our service delivery has improved quite significantly, and a lot of proactive inputs we are being able to give it to the customers to improve the functioning, uptime, and even sometimes the fuel efficiency delivery on the vehicles. I would say that all these things put together has helped us to improve the market share.

Girish Wagh

There is a question from Tom, Ramanan

G.V. Ramanan

I can take that

Sneha Gavankar

Yeah. So, the question is regarding the balance Iveco approvals. Can you confirm whether the foreign investment approval in France and change of ownership approval from the Bank of Spain is remaining?

G.V. Ramanan

Tom, with respect to your question, just to clarify, and as I had shared with the earlier question too. All approvals have been secured. What is pending is only the finance regulatory approval, which is from France and Spain. All FDI approvals have already been received.

Sneha Gavankar

Thank you. Yeah. So, there's a clarificatory question from Aditya.

Girish Wagh

So, Aditya, I think arithmetically you may be right, but I think the message that I wanted to convey was with this kind of uncertainty, it's very difficult to give a very specific number. But still, I think sticking the neck out saying that we will certainly have a single -digit growth in Q 1, which is quite good.

Coming to Kapil, your question is about what the growth outlook for EVs for LCVs and buses is , and about Intra. Yes, I think Intra EV has got price positioned very, very well and is at a very good spot, and therefore there is quite a bit of a demand which we have seen for Intra EV.

Regarding your point about supply challenges. So, Kapil, this is just the second month of production since we started and we have a plan to ramp it up gradually as we go ahead, and we are sure that we will be able to meet the demand.

In terms of EV penetration that we can expect in LCVs. I will say that Kapil, for the whole of last year, our penetration in SCV pickup of EVs was around 4%, but if you look at towards the end of the year, especially last one or two months, this penetration has actually picked up to around

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7%. So, we do expect penetration to be in this higher single -digit zone.

Sneha Gavankar

Next question from Nishit. In H2 FY26, MHCV demand panned out way too strong compared to expectations. Any color, what drove the same? Whether this was addition of capacity by fleet operators or replacement demand? And how much of was the role of stronger than expected pent up demand in tippers? And does the strong growth in H2 make you cautious on FY27 demand apart from the other near -term concerns, or do you think there are more growth drivers?

Girish Wagh

So I

think H2 FY26 growth was clearly driven by increase in consumption. I think that was very important driver and that led to higher freight being made available, and that was translated into new purchases. Now those new purchases could be either to add capacity or for replacement both. I mean, I also answered Gunjan's question on what could be the likely replacement by the fleet owners.

So that's where we are, and I think see separately you guys only have asked a question that M&HCV or HCV volumes are still lower than FY19 peak in volume terms. Then I answer that in tonnage terms we are higher. So frankly still there is a headroom. If and I've been saying, I mean generally one algorithm or one equation correlation seems to be emerging that if the GDP growth is somewhere around X, then closer to that is also the CAGR in road freight BTKM, and as road freight keeps on increasing, we will see addition of capacity even in M&HCV.

As far as tippers are concerned, I must say that post rainy season, i.e., September, there has been a significant uptick even in tippers, which is because I think the infrastructure activity also picked up. So that's something that we have seen. We are still seeing good demand, good pull for the tippers, but of course, we will now shortly be entering into the rainy season, which is typically a very low demand season for tippers. And maybe after that, we'll be in a position to then give better visibility of what's likely to happen in H2.

Sneha Gavankar

Some questions that we've got by email. Can you tell us a little bit more about what's happening in the EV bus market? Why were we not participating?

Girish Wagh

Yeah. So, see in the electric bus tenders we have participated in the last two CESL tenders and I think in the first one out of those we were close to L2 in one of the sub part of that entire tender and the second tender I think the tender has just got opened yesterday. I think across VC, two things; one is the government has addressed our requirement of payment security mechanism and also asset light model which is there. But in our view and with more than 50 crore kilometers under the belt, more than 3,400 buses, I think the current set of quotes which are coming are, in our view, unsustainable. So, we are therefore going in a very prudent manner in this particular business.

But let me add I think we have been also pretty active on promoting electric bus travel now in corporates especially for employee travel. We are also engaging with some customers for other
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applications; Intracity, Intercity, mostly Intercity, sorry and this we believe will also start bringing some volume to us. So that's where we are in terms of electric buses.

Sneha Gavankar

Thank you. Ramanan, a couple of questions coming your way. This one's from Aryn, JP Morgan. Historically, we have seen very large working capital inflow in 4Q, which leads to a disproportionate increase in FCF. This time, the seasonality seems to be weaker in this regard. Anything to call out here? And the second question is on the CapEx guidance for FY27, whether there are any specific areas of investment that we are looking at.

G.V. Ramanan

I think a good question on cash. Aryn, as you are aware, CV business is very cyclical in nature. Historically, we have experienced working capital burn quarter-on-quarter, with Q4 being an exception. But I think FY26, with our sustained focus on disciplined working capital management, the large sinks historically concentrated in Q4 have been more evenly managed through the year, resulting in a more stable, predictable, and consistent cash flow. So, on a YTD basis post Q2, we've been consistently positive, which was not how it was historically.

Coming to your question on CapEx. I think for the last couple of years we've been giving guidance on CapEx of 2% to 4% of revenue, and we've been very consistent in meeting that. In FY26 also, we are well within the guidance. And despite this gap, I think our focus on investment in priority areas, new technology has always been prioritized. So, we expect FY27 also our guidance would remain similar, 2% to 4% of revenue.

Sneha Gavankar

Yeah. I don't think we have any other questions on the call. I think with that we can conclude the call. Thank you very much for joining in, and for any other questions, happy to connect offline. Thank you so much.